

Authority for Personal Data
P.O. Box 93374, 2509 AJ The Hague
Hoge Nieuwstraat 8, 2514 EL The Hague
T 070 8888 500 - F 070 8888 501
autoriteitpersoonsgegevens.nl
Draft
The Minister of the Interior and Kingdom Relations
P.O. Box 20011
2500EA The Hague
Date
July 25, 2023
Our reference
z2023-02836
Your letter dated
June 6, 2023
Contact person
070 8888 500
Your reference
2023-0000260851
Subject
Supplementary advisory request regarding the Political Parties Act
Dear Ms. Bruins Slot,

In your letter dated June 6, 2023, the Authority for Personal Data (AP) was consulted pursuant to Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR) regarding the draft of the Act of PM, containing rules regarding the financing of political parties and transparency rules concerning their internal organization, finances, and political advertisements, as well as rules regarding supervision and the prohibition of political parties (Political Parties Act) (hereinafter: the draft).

The AP has examined whether the draft regarding the processing of personal data complies with the Charter of Fundamental Rights of the European Union (EU), the general legal principles of the EU, the GDPR, and other relevant law, whereby it must be sufficiently demonstrated that, among other things, the principle of proportionality is met, by:

1.
the draft being suitable to achieve the pursued objective of public interest or the requirements of protecting the rights and freedoms of others (suitability);
2.
the objective not being reasonably achievable in another way that less infringes upon the fundamental rights of the individuals concerned (subsidiarity);
3.
the interference not being disproportionate to that objective, which particularly implies a weighing of the importance of the objective and the severity of the interference (proportionality);
4.
the draft being sufficiently clear and precise regarding the scope and being predictable in its application (legal certainty);
5.
the draft sufficiently indicating under which circumstances and conditions personal data may be processed, thereby providing safeguards for the protection of personal data (substantive and procedural safeguards); and
6.
the draft being binding under national law.

Date
day month year
Our reference
z2023-02836

2/6

The AP notes that it is unclear on which exception decentralized political parties should base the disclosure of special personal data. The AP has objections regarding this point and advises not to continue the procedure unless the objection is resolved.

Scope of the draft

The draft aims to provide a single law on political parties. In addition to the existing regulations regarding the financing of political parties – which will be incorporated and tightened in the draft – the draft establishes rules regarding the transparency obligations of political parties, particularly concerning political advertisements and microtargeting.¹ The draft stipulates that a national political party must submit political advertisements to the authority for deposit in a central register.² The advertisement must be accompanied by a transparency statement. This statement must include, among other things, the political party that commissioned the publication or distribution of the advertisement, and the amount paid to the publisher for storing and publishing or distributing the political advertisement.

Furthermore, the draft imposes stricter requirements on political parties during elections, establishes an authority on political parties (hereinafter: the authority), and sets rules regarding the prohibition of political parties if a party poses a real and serious threat to one or more fundamental principles of the democratic rule of law due to its objectives or activities.

The advice of the AP is limited to the parts that concern the processing of personal data. This includes the transparency rules regarding donations (Chapters 5, 6, and 8 of the draft) and the transparency rules regarding political advertisements and microtargeting (Chapter 7 of the draft).

Advice

Special personal data

According to the draft, national political parties must annually provide an overview of contributions of (in total) more than €1,000³ to the authority, along with the details of the donors.⁴ The authority will then make this information public.⁵ Decentralized political parties must themselves annually provide the

1 The AP understands microtargeting as the collection and analysis of (personal) data to convey a targeted message to a specific group or individual. The draft defines microtargeting techniques in Article 1 as “techniques used to target a political advertisement tailored to certain characteristics only to a specific person or group of persons.”

2 Article 59 of the draft.

3 Per calendar year.

4 Article 34 of the draft.

5 Article 34, fourth paragraph, of the draft.

Date
day month year
Our reference
z2023-02836

3/6

to disclose donor information for donations totaling more than € 200.⁶ The receipt of substantial donations must be reported as soon as possible by a national political party to the authority.⁸ Decentralized political parties must disclose substantial donations within three weeks of receipt (on their website).⁹ Additional disclosure obligations apply prior to elections.¹⁰

Article 9, paragraph 1, of the GDPR states that the processing of personal data revealing political opinions is prohibited. When a natural person makes a contribution to a political party, they typically do so because their political opinions correspond with those of the relevant political party. The AP is therefore of the opinion that the processing of data regarding this contribution generally reveals the political opinions of the donor. These data are thus to be classified as special personal data within the meaning of Article 9 of the GDPR.¹¹ The explanation accompanying the draft indicates that this position is endorsed.¹² The processing prohibition does not apply if an exception as mentioned in Article 9, paragraph 2, of the GDPR is met.

In the context of the disclosure of donations, data revealing political opinions are processed by the (national or decentralized) political party and by the authority. An exception to the processing prohibition for the processing of personal data by the authority due to a compelling general interest is elaborated in the draft and in the explanation.¹³ However, it is unclear whether the mandatory provision of donor data by national political parties to the authority also falls under that exception. For the (electronic) disclosure of data by decentralized political parties, it has not been explained at all whether that processing can be based on an exception.

The AP advises clarifying which exception of Article 9 of the GDPR the provision of data by national political parties to the authority and the (electronic) disclosure by decentralized political parties is based on.

The AP further makes the following remarks.

Effectiveness and subsidiarity of the central register of political advertisements

The draft stipulates that a national political party must provide political advertisements to the authority for deposit in a central register.¹⁴ The political advertisement must be accompanied by a transparency statement. If microtargeting techniques have been used, data regarding this must be provided.

6 Per calendar year.

7 Article 49 of the draft.

8 Article 35 of the draft. A substantial donation to a national political party amounts to € 10,000 or more.

9 Article 50 of the draft. A substantial donation to a decentralized political party amounts to € 2,000 or more.

10 Articles 64 and 70 of the draft.

11 Advice from the Authority for Personal Data of December 3, 2019, z2019-24700.

12 Explanation, p. 48.

13 Article 80 of the draft, explanation p. 48.

14 Article 59 of the draft.

Date

day month year

Our reference

z2023-02836

4/6

will be included in the transparency declaration. The European Union (EU) is also preparing regulations regarding transparency obligations concerning political advertisements. The proposal for a regulation on transparency and targeted political advertising (hereinafter: the draft regulation) aims to ensure that providers of political advertising services must collect and record information about, among other things, the political advertising message, the amounts they have charged, and the identity of the client. The draft regulation does not require providers of political advertising services to deposit a political advertisement in a central register.

The draft must be suitable to achieve the pursued objective of public interest, and the aim of the draft must not reasonably be able to be achieved as effectively in another way that less infringes on the

fundamental rights of the parties involved (subsidiarity).

The AP doubts whether the register of political advertisements meets the requirements of effectiveness and subsidiarity. The AP considers imposing obligations on providers of political advertising services – as intended by the EU legislator – to be more effective and less intrusive. This is because it is typically the providers of political advertising services, rather than the political parties, who are responsible for the entire process of microtargeting. Moreover, the risk of (unintended) interference in the democratic process is smaller if the obligations are imposed on providers of political advertising services.

The AP advises to clarify in the explanation whether it has been considered to impose the obligation to provide transparency declarations on providers of political advertising services and why this option was not chosen.

Relationship of oversight authority on political parties and AP

The authority supervises the central register of political advertisements. The explanation states that the authority's oversight will primarily focus on checking whether the advertisement sets are complete and provided in the correct format.

If microtargeting techniques have been used, this must be included in the transparency declaration for the political advertisement(s). Microtargeting consists of three elements: 1) processing (large amounts of) personal data to divide a large and heterogeneous audience into smaller, more homogeneous target groups; 2) tailoring targeted advertisements to the recipient; and 3) the opacity of

15 Namely: 1. the specific groups of recipients of the political advertisement, along with the characteristics used to determine the recipients among whom the advertisement was disseminated; 2. the categories of personal data used for targeting and the source of that personal data; 3. the purposes of the targeting, including the characteristics based on which individuals were included in the target group, and the reasons for the choice of these characteristics. See Article 59, first paragraph, part b, under iv of the draft.

16 Proposal for a regulation of the European Parliament and the Council on transparency and targeted political advertising (COM (2021) 731 final).

17 Microtargeting involves (at least) two types of processing: 1) processing (large amounts of) personal data to divide a large and heterogeneous audience into smaller, more homogeneous target groups; 2) tailoring and targeting advertisements to the recipient. Political parties will typically not carry out these processes themselves but will use the services of the provider of the political advertising service.

18 Explanation, p. 24.

Date

day month year

Our reference

z2023-02836

5/6

targeted advertising (a newspaper advertisement is visible to everyone, a targeted advertisement is in principle only visible to the intended audience (the 'target')).

The AP supervises compliance with the GDPR and the processing of personal data.¹⁹ This includes oversight of the lawful processing of personal data²⁰ (elements 1 and 2 above) and the information obligations that rest on a data controller²¹ (element 3 above). Thus, the AP also supervises parties that use political microtargeting techniques.

It is unclear where the line is drawn between the oversight of the authority and the oversight of the AP, and whether it is anticipated that the authority and the AP will cooperate. For example, if the authority receives signals about unlawful microtargeting or if the authority indicates that a transparency statement has not been provided to the authority in error.

Additionally, the AP notes that the explanation indicates that the authority will not oversee the substantive correctness of the transparency statements. Without the possibility of substantive enforcement of the transparency obligations, the AP considers it unlikely that the risks of microtargeting can actually be mitigated. A political party could then, without consequences, include incorrect information, as long as the statement is complete and provided in the correct format.

The AP advises to clarify:

- how the oversight of the authority and the AP relate to each other, and
- whether and by whom oversight will be maintained on the correctness of the transparency statements.

Definition of political advertisement

A political advertisement is defined in the draft as “a message, [that] is evidently intended to influence the turnout or voting preference of voters in an election that a publisher stores and publishes or distributes on behalf of a political party.”²²

Under this definition, only “electoral” advertisements fall, meaning advertisements that explicitly refer to an election or an electoral candidate.²³ So-called “issue” advertisements, meaning advertisements about a specific subject that is of political importance or may be²⁴, do not fall under this definition. Political parties could thereby evade the obligation to provide advertisements and transparency statements to the authority by not referring to an election or an electoral candidate.

The AP believes that the obligation to provide political advertisements to the authority is more suitable/effective if “issue” advertisements are also included under the definition (point 1 of the

19 Article 15 of the UAVG.

20 Article 6 of the GDPR.

21 Chapter III, section 2 of the GDPR.

22 Article 1 of the draft.

23 See P. Leersen, J. Ausloos, N. Helberger, and C.H. De Vreese. Platform ad archives: promises and pitfalls. IPR 8(4), p. 8.

24 Idem.

Date

day month year

Our reference

z2023-02836

6/6

assessment framework). The AP advises that the draft be amended so that all advertisements published by, for, or on behalf of a political party fall under the definition of a political advertisement, regardless of whether these advertisements refer to an election or electoral candidate²⁵, or to substantiate why that is not desirable.

Workload

Given the existing tasks of the AP, it is likely that the draft will necessitate additional effort by the AP, as the AP will receive more questions and complaints about political advertisements and microtargeting due to the central register of political advertisements. This additional effort has not yet been accounted for in the funding of the AP. This will need to be appropriately addressed by the Secretary of State for Justice and Security prior to the entry into force, in consultation with the Minister for Legal Protection as the responsible minister for the budget from which the AP is funded. This is for the benefit of the budget from which the AP is funded.

Disclosure of the advice

The AP intends to make this advice public no earlier than four weeks after it is published on the website www.autoriteitpersoonsgegevens.nl. Unless otherwise notified, it assumes that there are no objections to this.

Yours sincerely,
Authority for Personal Data,
Aleid Wolfsen
Chairman

25 See for example article 2 of the draft regulation.